Prices Keep Going Up

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Prices went up again last month. A new report says prices rose four-tenths of a percent. Food and energy cost more. Housing costs went up, too. Experts think prices will rise about 4 percent this year. That is faster than pay is rising, so family **budgets** feel tighter. **Inflation** means prices rising over time. When prices stay high, your money buys less. The **Federal Reserve**, America's central bank, wants **inflation** at 2 percent. Austan Goolsbee, who leads the **Federal Reserve** Bank of Chicago, called the report 'another **distressing** report, borderline disturbing.' He said the war in the Middle East has pushed up energy prices. The cost of **tariffs** on goods was supposed to fade, but it has not. Services like health care are also getting more costly. Food and housing are things families cannot skip. A farmer in Illinois even sent Goolsbee a **diesel** pump, saying prices are killing them. A new factor is the building of AI data centers, which pushes up the cost of computers and construction. **Inflation** has stayed above 2 percent for nearly six years.

Word Treasure

inflation -- Inflation means prices keep rising over time.
budgets -- A budget is the money a family has to spend.
Federal Reserve -- The Federal Reserve is America's central bank.
tariffs -- Tariffs are extra taxes on goods from other countries.
distressing -- Distressing means upsetting or worrying.
diesel -- Diesel is a kind of fuel used in trucks and farm machines.

Background you need

Inflation means prices rise over time, so the same money buys less than it used to.

America's central bank, the Federal Reserve, tries to keep inflation near 2 percent.

When food, energy, and housing cost more than pay grows, families feel squeezed because they cannot skip those costs.

Break it down

WHO: Austan Goolsbee, who leads the Federal Reserve Bank of Chicago, and experts who study prices.

WHAT: A new report says prices are still rising faster than pay, driven by food, energy, and housing.

WHERE: Across the United States, with a focus on the Midwest and a farmer in Illinois.

WHY: Because food, energy, housing, and services keep costing more, and demand from building AI data centers adds to the pressure.

Why it matters

When prices rise faster than your family's pay, there is less money for food, clothes, and fun, so inflation touches your everyday life.

Test what you remember

1. By how much did prices rise last month?

- (A) Two percent
- (B) One percent
- (C) Four-tenths of a percent
- (D) Four percent

2. What does inflation mean?

- (A) Stores closing down
- (B) Prices rising over time
- (C) People losing their jobs
- (D) Prices falling over time

3. What does the Federal Reserve want inflation to be?

- (A) 10 percent
- (B) 2 percent
- (C) 4 percent
- (D) 0 percent

4. What did Austan Goolsbee call the report?

- (A) 'A report with no surprises'
- (B) 'Another distressing report, borderline disturbing'
- (C) 'A very good report'
- (D) 'The best report in years'

5. What did a farmer in Illinois send Goolsbee?

- (A) A basket of apples
- (B) A bag of corn
- (C) A diesel pump
- (D) A letter about the weather

6. What new factor is pushing up the cost of computers and construction?

- (A) New taxes on farms
- (B) The building of AI data centers
- (C) A shortage of truck drivers
- (D) A rise in the price of paper

Answer key (try the quiz first!): 1: C 2: B 3: B 4: B 5: C 6: B

Questions to think about

1. Austan Goolsbee, Federal Reserve Bank of Chicago president: Calls the report distressing and says the Fed has a real inflation issue to deal with.

2. Experts: Think prices will rise about 4 percent this year, faster than pay is rising.

MY THOUGHTS (at least 20 words):